Mortgages

A mortgage is a long-term loan, which enables the borrower to purchase property or land. A mortgage is made up of the amount borrowed – the principal – plus the interest charged on the loan.

How it works

The word mortgage is derived from an old French term used by English lawyers in the Middle Ages, literally meaning "death pledge", because the deal dies when the debt is paid or a payment fails. A mortgage is secured on the borrower's property, which means that a legal mechanism is put in place that allows the lender to take possession in the event that the borrower defaults on the loan or fails to abide by its terms. This is known as repossession or foreclosure. Most mortgage lenders require borrowers to put down a percentage of the property value as a deposit (or down payment) before they will be given a mortgage, and the bigger the deposit is, the less they will need to borrow.

Repayment mortgage or annuity repayment mortgage

- This is the most common type of mortgage in the UK.
- The bank first checks the borrower's background to ensure they can afford the loan repayments.
- The borrower then puts down a deposit, and the bank lends them the remainder of the purchase price. For example, if the purchase price of a property is £300,000, the borrower may put down a 5% deposit (£15,000) and borrow the remaining £285,000 from the bank. This amount is known as the principal, or capital.
- The bank charges an interest rate on the principal, based on the type of mortgage and the base rate. Interest rates may be fixed for a period of time, or variable.
- The borrower pays back both the principal and the interest via monthly repayments. When they have repaid the total amount borrowed, plus the interest, they own the property outright.

Types of mortgage

Different countries have different types of mortgage, and different rules governing their issue. The amount that can be borrowed will depend on the property, individual circumstances, and prevailing economic conditions, but all loans will eventually need to be repaid with interest.

Offset mortgage

- If a borrower has a savings account at the same bank as they have their mortgage, an offset mortgage will allow them to offset their savings against the amount they borrow.
- The result is that less interest is paid on the mortgage, meaning that the borrower will be able to pay their mortgage off more quickly.
- For example, if a borrower has a mortgage of £200,000 and savings of £30,000, an offset mortgage allows them to pay interest on only £170,000 of their loan.
- Not all banks offer borrowers offset mortgages, and interest rates may be higher than they are for other mortgage products.
- If a borrower only has a small amount of savings, the higher rates involved may mean it is not worth them seeking an offset mortgage.
- If a borrower has a large amount of savings, it may be better for them to consider using a portion of these savings to decrease the loan-to-value ratio (LTV) of their mortgage.